

Standard Chartered

4Q25 first take: 4Q miss, change to guidance basis

Maintain Rating: NEUTRAL | PO: 209.80 HKD | Price: 192.00 HKD

4Q25: 6% miss to underlying PBT, from lower Markets

Standard Chartered missed underlying PBT consensus by 6% (\$81m) in Q4, with income missing by 1% (\$37m) and cost missing by 4% (\$143m), partially offset by lower impairments (both credit and other impairment - \$117m beat combined). Below the line items were also a \$164m miss to consensus. Distributions were the bright spot, with dividend 48.6c significantly above consensus 34.7c, and buyback \$1.5bn above consensus \$1.4bn. We remain Neutral on the stock, as Standard Chartered continues to be well-positioned to capture strong trends in Asia Wealth.

Income miss driven by Markets, cost miss on underlying and reported bases

Within the income line, NII was 8% (\$207m) higher than consensus, largely driven by higher HIBOR in the quarter and timing benefit in treasury income. Non interest income was an 11% (\$243m) miss - within this, Wealth was a 2% miss, Banking was in line, while Markets was a 17% (\$131m) miss due to lower episodic income. Cost was the other area of disappointment, with underlying cost 4% higher than expected, driven by a combination of regulatory changes and value of cash-settled deferred stock awards given higher share prices. Below the line cost was also a \$164m miss, driven by litigation and conduct (including Korea ELS), and other restructuring.

New guidance: Now on reported basis

Management has made a number of changes to guidance, most notably moving from underlying to reported. New guidance includes (i) reported income growth yoy to be around the bottom end of 5-7% range (at 5% implies c.\$22bn, c.2% above consensus \$21.5bn), (ii) reported costs broadly flat yoy (i.e. c.\$13.3bn, marginally above consensus c.\$13.2bn), (iii) stat ROTE in 2026 >12% vs consensus 11.7%. Combining the income and cost guidance, it looks to imply mid single digit PBT upgrade. We also note that Ventures will no longer be reported separately.

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Stock Data

Price	192.00 HKD
Price Objective	209.80 HKD
Date Established	2-Feb-2026
Investment Opinion	B-2-7
52-Week Range	86.25 HKD-206.00 HKD
Mkt Val / Shares Out (mn)	55,410 USD / 2,256.5
Market Value (mn)	433,249 HKD
Average Daily Value (mn)	24.52 USD
Free Float	100.0%
BofA Ticker / Exchange	XCHBF / HKG
Bloomberg / Reuters	2888 HK / 2888.HK
ROE (2025E)	10.4%

CET1: Core Equity Tier 1

NII: Net Interest Income

PBT: Profit Before Tax

RWA: Risk Weighted Asset

FFG: Fit For Growth

CTA: Cost To Achieve

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Actual versus consensus

Exhibit 1: STAN Q425 vs consensus

Underlying PBT was c.6% miss to consensus, largely driven by higher costs

	1Q24 Actual	2Q24 Actual	3Q24 Actual	4Q24 Actual	1Q25 Actual	2Q25 Actual	3Q25 Actual	Actual	4Q25 Cons	BofA	Cons	4Q24	3Q25
Profit & loss													
Net interest income	2,656	2,694	2,769	2,977	2,796	2,703	2,737	2,949	2,742	2,686	8%	-1%	8%
Non interest income	2,496	2,112	2,135	1,857	2,594	2,806	2,410	1,899	2,142	2,172	-11%	2%	-21%
Operating income	5,152	4,806	4,904	4,834	5,390	5,509	5,147	4,848	4,884	4,858	-1%	0%	-6%
Operating expenses	(2,786)	(2,887)	(2,840)	(3,277)	(2,915)	(3,050)	(2,953)	(3,429)	(3,286)	(3,299)	4%	5%	16%
Credit impairment	(176)	(73)	(178)	(130)	(219)	(117)	(195)	(145)	(228)	(239)	-36%	12%	-26%
Other impairment	(60)	(83)	(92)	(353)	(6)	(3)	(20)	(13)	(47)	(29)	-72%	-96%	-35%
Associates & JVs	(1)	65	13	(27)	27	64	6	(26)	(9)	(7)	189%	-4%	-533%
Underlying profit before tax	2,129	1,828	1,807	1,047	2,277	2,403	1,985	1,235	1,314	1,284	-6%	18%	-38%
Restructuring charges	(55)	(95)	(91)	(200)	(170)	(123)	(219)	(421)	(257)	(254)	-	-	-
DVA	(48)	22	5	(3)						0	-	-	-
Other	(112)	(177)	1	(44)	(4)					0	-	-	-
Statutory profit before tax	1,914	1,578	1,722	800	2,103	2,280	1,766	814	1,057	1,030	-23%	2%	-54%
Key metrics													
Underlying ROTE	15.2%	12.9%	10.8%	8.1%	16.4%	19.7%	13.4%	9.60%	8.5%	7.8%	1.10%	1.50%	-3.80%
CET1 ratio	13.6%	14.6%	14.2%	14.2%	13.8%	14.3%	14.2%	14.1%	14.1%	14.0%	0.0%	-0.10%	-0.10%
RWA (\$bn)	252,116	241,926	248,900	247,065	253,596	259,700	258,400	258,000	260,900	262,684	-1%	4%	0%
Net customer loans	283,403	275,896	287,300	281,032	281,788	286,700	285,100	286,800	288,100	285,127	0%	2%	1%
Loan loss rate	0.25%	0.11%	0.21%	0.19%	0.25%	0.12%	0.24%	0.20%	0.32%	0.33%	-0.12%	0.02%	-0.04%
TNAVPS	13.90	14.44	15.09	15.41	15.62	16.80	16.84	17.30	17.35	17.57	0%	12%	3%
Dividend	0.00	9.00		28.00		12.30		48.60	34.70	40.62			
Buybacks	0	1,500		1,500		1,300		1,500	1,390	1,500			

Source: Company consensus, BofA Global Research estimates, Company reports

BofA GLOBAL RESEARCH

Price objective basis & risk

Standard Chartered (XCHBF)

Our primary valuation methodology is a Gordon Growth Model based on our 2027e forecast, to which we add the present value of expected dividends. With a 11% cost of equity assumption, this suggests a price to book multiple of 1.5x, reducing to 1.3x when discounted to a year from now at our cost of equity. Applying this to 2026E tangible book value of 1,854c gives a value of 2,456c pre capital return. To this we add the dividends we forecast through to 2027E (also discounted), and adjust for excess capital to the bottom end of management guidance. Using this valuation approach, we arrive at a price objective of HKD209.80.

The upside risks to our PO are: 1. US rates stay higher for longer, terminal rate higher than expected, 2. further stimulus from the Chinese government, 3. Emerging Asia/ Hong Kong loan growth recovers faster than expected.

The downside risks to our PO are: 1. Loan growth remains subdued for longer, 2. Wealth Management flows slow as competition intensifies in the market, 3. Global trade flows reduce more than expected with higher tariffs.

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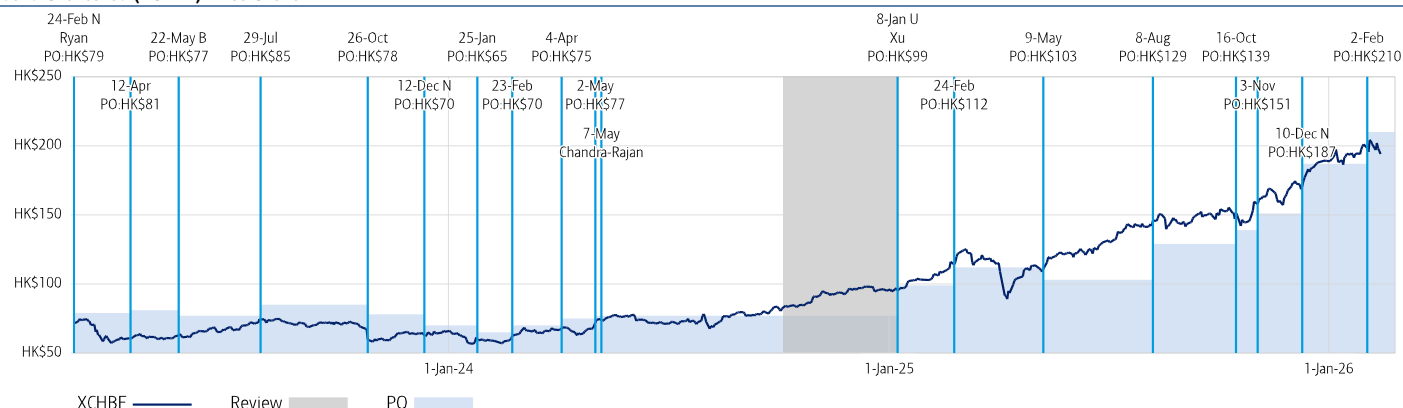
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Standard Chartered (XCHBF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

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Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	113	54.07%	Buy	90	79.65%
Hold	55	26.32%	Hold	44	80.00%
Sell	41	19.62%	Sell	33	80.49%

Equity Investment Rating Distribution: Global Group (as of 31 Dec 2025)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1869	53.99%	Buy	1069	57.20%
Hold	834	24.09%	Hold	481	57.67%
Sell	759	21.92%	Sell	383	50.46%

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Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

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